

While I can proudly say that I have never again lived life quite like I did in January 2009, I learned that “winging it” rarely works. Long walks and Sunday drives aside, we usually do best and actually get to where we’re going when there’s a plan and route to get there. When it comes to spending, it’s best to not treat it like lazy afternoons or my college J-term, but instead develop a simple, low-maintenance way of operating.

Creating and following a plan is what makes our money work. Yes, this includes budgeting! It’s what will allow you to visually align and prioritize your spending with your values. It provides the guidelines for where you’re going and how you will get there. And the best part is: *you* make the rules. You set the parameters. You decide what is manageable.

When you’re not staying on top of them, your schedules, accounts, spending, and income can feel unmanageable. And the longer you avoid managing these tasks, the more daunting it can feel. But if you planned simple and beneficial choices up front, the attention your money needs monthly is minimal! It does require a plan, though, which most people call a budget.

If you’ve ever budgeted before, the word might bring up some uneasy feelings. Budgets are frequent triggers for the deprivation, guilt, and shame cycle we experience when managing money. So, instead, we like to call it a spending plan. For us a spending plan is simply that, a plan for how you want to spend your money in the upcoming month. While budgets elicit feelings of deprivation and restriction, a spending plan is flexible. Your plan allows you to check last month’s spending to make sure there were no surprises, helps you to prioritize your purchases, and gives insight on how you need to spend your time and energy to ensure you follow through with your plan. With a spending plan, you’re not just focusing on money, you’re also looking at the tangibles and intangibles that impact follow-through.

Creating a spending plan is the simplest way to keep track of your progress each month. If you’re like Jen, you might prefer to use an app for tracking purchases. Or, if you’re like Jill, you may choose to make your own spreadsheet. You can find both of our favorite methods on the resources page for this book at frugalfriendspodcast.com/book.

When you’re making a spending plan, you don’t need twenty categories, subcategories, and sections for miscellaneous categories. You really just need to know your income and have your list of priorities from chapter 3.